

September 25, 2026

Bajaj Finance Ltd.: Provisional [ICRA]AAA(SO) assigned to PTCs backed by Loan Against Property (LAP) loan receivables issued by PHARAOH AUGUST 2026 SERIES

Summary of rating action

Trust name	Instrument*	Current rated amount (Rs. crore)	Rating action	Financial Sector Regulator#
PHARAOH AUGUST 2026 SERIES	Series A1 PTCs	477.36	Provisional [ICRA]AAA(SO); assigned	RBI

*Instrument details are provided in Annexure I

#SEBI's grievance redressal/dispute resolution and SEBI investor protection mechanisms such as SCORES and ODR shall not be available for activities and instruments which fall under the regulatory purview of Financial Sector Regulators other than SEBI.

Rating in the absence of the pending actions/documents	No rating would have been assigned as it would not be meaningful
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Rationale

The pass-through certificates (PTCs) are backed by a pool of LAP loan receivables originated by Bajaj Finance Ltd. {BFL/Originator; rated [ICRA]AAA(Stable)}¹ with an aggregate principal outstanding of Rs. 545.55 crore (pool receivables of Rs. 996.77 crore). BFL would also act as the servicer for the transaction.

The provisional rating is based on the strength of the cash flows from the selected pool of contracts, the credit enhancement available in the structure as well as the integrity of the legal structure. The rating is subject to the fulfilment of all the conditions under the structure and ICRA's review of the documentation pertaining to the transaction.

Transaction structure

As per the transaction structure, the monthly cash flow schedule comprises the promised interest payout. The principal is expected to be paid on a monthly basis (100% of the pool principal billed) but is promised on the final maturity date. Any surplus excess interest spread (EIS), after meeting the promised and expected payouts, will flow back to the Originator on a monthly basis. Any prepayment in the pool would be used for the prepayment of the Series A1 PTCs principal. The transaction has certain predefined trigger events on the occurrence of which the residual cash flows would be passed on to Series A1 PTC investors.

The credit enhancement available in the structure is in the form of (i) a cash collateral (CC) of 1.00% of the initial pool principal, amounting to Rs. 5.46 crore, to be provided by the Originator, (ii) subordination of 12.50% of the initial pool principal for Series A1 PTCs, and (iii) EIS of 45.68% of the initial pool principal for Series A1 PTCs.

Key rating drivers and their description

Credit strengths

Granular pool supported by presence of credit enhancement – The pool is granular, consisting of 1,896 obligors, with top 10 obligors forming only 5.62% of the initial pool principal, thereby reducing the exposure to any single borrower. Further, the

¹ The current rating rationale of the originator, available at this [link](#), provides its detailed rating history and rating transitions.

credit enhancement available in the form of the CC, subordination and EIS would absorb some amount of the losses in the pool and provide support in meeting the PTC payouts.

Moderate seasoning profile – The pool has weighted average seasoning of ~16 months as on the cut-off date. Further the pool has been filtered in such a manner that there are no overdue contracts as on the cut-off date.

Strong bureau score of the underlying borrowers – ~86% of the borrowers in the pool have a bureau score of more than 725 which signifies a strong credit history of such borrowers.

Contracts backed by self-occupied residential properties: A major part of the pool (85% of its contracts in terms of the principal amount outstanding on the cut-off date) is backed by residential properties. This is expected to support the quality of the pool as it has been observed that borrowers tend to prioritise repayments towards such loans even during financial periods.

Credit challenges

High geographical concentration: The pool has high geographical concentration with the top 3 states, viz. Andhra Pradesh, Karnataka and Telangana, contributing 66.5% to the initial pool principal amount. The pool's performance would thus be exposed to any state-wide disruption that may occur due to natural calamities, political events, etc.

Exposed to interest rate risk – The yield for the PTCs is linked to an external benchmark while the underlying pool has a mix of contracts with fixed interest rate and floating interest rates, with some linked to company's benchmark rate and some to repo rate. Hence, the transaction is exposed interest rate risk.

Risks associated with lending business – The pool's performance would remain exposed to macro-economic shocks, business disruptions and natural calamities that may impact the income-generating capability of the borrowers and their ability to make timely repayments of their loans.

Key rating assumptions

ICRA's cash flow modelling for the rating of securitisation transactions involves the simulation of potential losses, delinquencies and prepayment in the pool. The losses and prepayments are assumed to follow a log-normal distribution. The assumptions for the losses and the coefficient of variation are considered on the basis of the values observed from the analysis of the past performance of the Originator's loan portfolio as well as the characteristics of the specific pool being evaluated. The resulting collections from the pool, after incorporating the impact of the losses and prepayments, are accounted for in ICRA's cash flow model, in accordance with the cash flow waterfall of the transaction.

For the current pool, ICRA has estimated the shortfall in the pool principal collection during its tenure at 3.50% with certain variability around it. The average prepayment rate for the underlying pool is modelled in the range of 6.4% to 24.0% per annum. Various possible scenarios have been simulated at stressed loss levels and prepayment rates and the incidences of default to the investor as well as the extent of losses are measured after factoring in the credit enhancement to arrive at the final rating for the instrument.

Liquidity position: Superior

The liquidity for Series A1 PTCs is superior after factoring in the credit enhancement available to meet the promised payout to the investor. The total credit enhancement would be greater than 10 times the estimated loss in the pool.

Rating sensitivities

Positive factors – Not Applicable

Negative factors – The sustained weak collection performance of the underlying pool (monthly collection efficiency <90%), leading to higher-than-expected delinquency levels and higher CE utilisation levels, would result in a rating downgrade. Weakening in the credit profile of the servicer (BFL) could also exert pressure on the rating.

Analytical approach

The rating action is based on the analysis of the performance of BFL's Prime and Micro LAP portfolio till June 2026, the key characteristics and composition of the current pool, the performance expected over the balance tenure of the pool, and the credit enhancement cover available in the transaction.

Analytical approach	Comments
Applicable rating methodologies	Rating Methodology for Securitisation Transactions
Parent/Group support	Not applicable
Consolidation/Standalone	Not applicable

Pending actions/documents required to be completed for conversion of the provisional rating into final

The assigned rating is provisional and would be converted into a final rating upon the execution of:

1. Trust deed
2. Assignment agreement
3. Legal opinion
4. Trustee letter
5. KYC Chartered Accountant's certificate
6. Any other documents executed for the transaction

Validity of the provisional rating

The Trust is expected to complete the pending actions/execute the pending documents in the near term. However, in case of continued pendency of the actions/documents beyond one year of this publication, the provisional rating would be withdrawn for the transaction even if the instrument has been issued.

Risks associated with the provisional rating

In case the issuance is completed, but the pending actions/documents are not completed for the transaction within one year (validity period) from the assignment of the rating, the provisional rating will be withdrawn in accordance with ICRA's Policy on Provisional Rating available at www.icra.in.

About the originator

Bajaj Finance Ltd. (BFL) is one of the largest retail asset financing non-banking financial companies (NBFCs) with a diversified loan portfolio and a pan-India presence. While it was originally set up to provide finance for the purchase of two-wheelers and three-wheelers manufactured by Bajaj Auto Limited, it diversified into other segments over the years. Currently, it operates across seven broad categories – Consumer Lending, Commercial Lending, Rural Lending, SME Lending, Deposits, Payments and Partnerships & Services.

Under Partnerships & Services, the company offers products like health insurance, extended warranties, comprehensive asset care, co-branded credit cards and wallets. As on March 31, 2026, it had two subsidiaries – Bajaj Housing Finance Limited (BHFL) and Bajaj Financial Securities Limited (BFSL). BHFL is registered with National Housing Bank as a housing finance company (HFC) while BFSL was incorporated to undertake the business of share broking and to function as a depository participant.

Key financial indicators (consolidated)

BFL	FY2024	FY2025	9M FY2026
Total income	54,983	69,725	51,952
Profit after tax	14,451	16,779	12,964
Total managed assets	3,85,101	4,16,661	4,96,805
Gross stage 3 assets	0.8%	1.0%	1.2%
CRAR	22.5%	21.9%	20.6%

Source: Company data, ICRA Research; Amount in Rs. crore

Status of non-cooperation with previous CRA: Not applicable

Any other information: None

Rating history for past three years

	Trust name	Current rating (FY2027)				Chronology of rating history for the past 3 years		
		Instrument	Initial amount rated (Rs. crore)	Current amount rated (Rs. crore)	Date & rating in FY2027	Date & rating in FY2026	Date & rating in FY2025	Date & rating in FY2024
					September25, 2026			
1	PHARAOH AUGUST 2026 SERIES	Series A1 PTCs	477.36	477.36	Provisional [ICRA]AAA(SO)	-	-	-

Complexity level of the rated instrument

Instrument	Complexity indicator
Series A1 PTCs	Highly Complex

The Complexity Indicator refers to the ease with which the returns associated with the rated instrument could be estimated. It does not indicate the risk related to the timely payments on the instrument, which is rather indicated by the instrument's credit rating. It also does not indicate the complexity associated with analysing an entity's financial, business, industry risks or complexity related to the structural, transactional or legal aspects. Details on the complexity levels of the instruments are available on ICRA's website: [Click here](#)

Annexure I: Instrument details

Trust name	Instrument	Date of issuance/ Sanction	Coupon rate (p.a.p.m.) *	Maturity date	Amount rated (Rs. crore)	Current rating	Financial Sector Regulator#
PHARAOH AUGUST 2026 SERIES	Series A1 PTCs	September 25, 2026	7.00%	September 25, 2046	477.36	Provisional [ICRA]AAA(SO)	RBI

Source: Company; * Floating yield linked to external benchmark + Spread

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Annexure II: List of entities considered for consolidated analysis

Not applicable

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ABOUT ICRA LIMITED

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Today, ICRA and its subsidiaries together form the ICRA Group of Companies (Group ICRA). ICRA is a Public Limited Company, with its shares listed on the Bombay Stock Exchange and the National Stock Exchange. The international Credit Rating Agency Moody's Investors Service is ICRA's largest shareholder.

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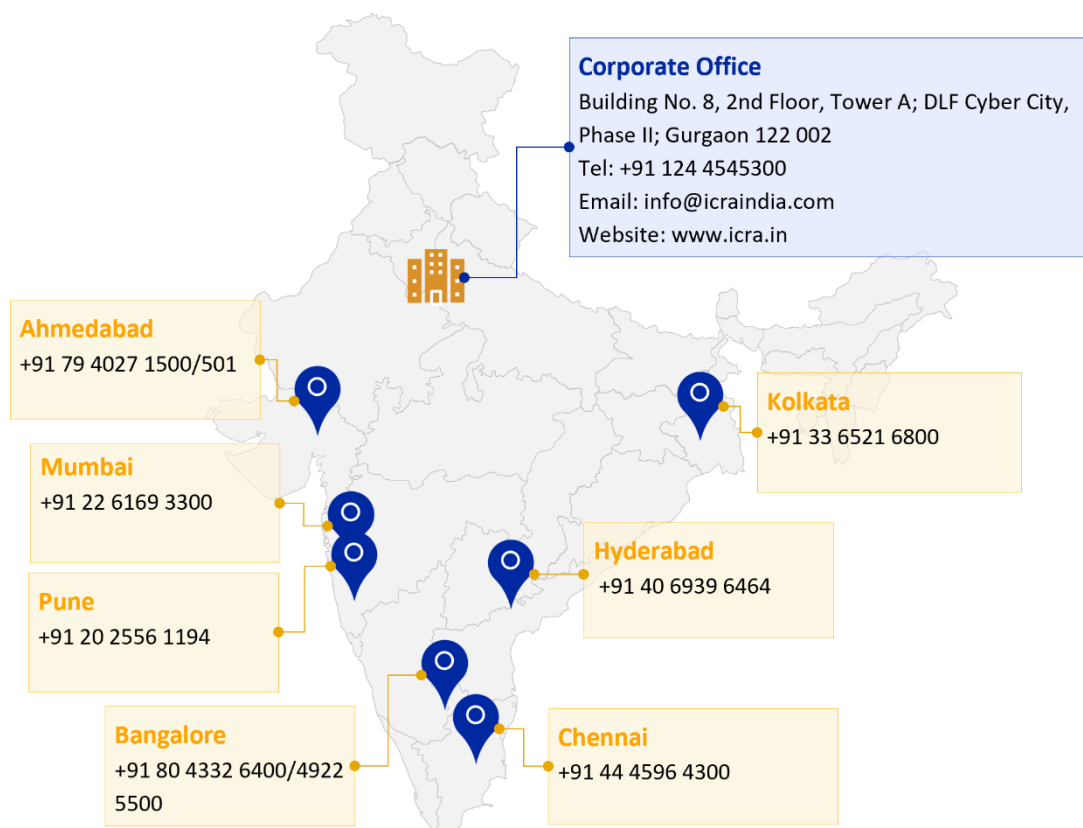


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